

ECON311
Critical Review

Name: Ayomide Oladini

Topic: Review of “The COVID crisis and productivity growth”

Introduction:

3.5/5

- The introduction adequately introduces the paper. However, it should be expanded to provide a clearer overview of the main thesis of the paper, which is to use the growth accounting framework to discuss the long-run effect of the pandemic on measured productivity.

Critical Economic Analysis:

26.5/30

- **Labour:** Your discussion of the effect of the pandemic on labour is very good. Your argument regarding evidence that the pandemic has had a lasting negative effect on human capital is clear. You also provide evidence that the pandemic did influence labour supply in the long run by lowering labour participation rates. A minor issue is that this part of the discussion could have been shortened, as labour supply changes do not affect measured productivity.
- **Capital:** Good discussion of underutilization of capital and that this underutilization did not take place in sectors identified by the article, such as tourism, but in commercial real state as people did not fully return to in-person work.
- **TFP:**
 - *Within-Firm:* Your discussion of within-firm productivity changes is incomplete. You mention several factors without explaining how they affected within-firm productivity growth. Also, your discussion of the evidence presented in Bloom’s article is about the short run and not the long-run effect of the pandemic.
 - *Across-Firm:* The point about financing is that future credit constraints due to pandemic spending will not be conducive to fund risky projects with high potential. Your discussion of evidence that across-firm reallocation within hard-hit sectors resulted in productivity gains in Australia and UK is good.
 - *Across-Sectors:* Good discussion of the across-sector channel, including a discussion that the tourism sector almost fully rebounded following the pandemic, unlike predicted in the article.

Exposition:

8/10

- The review is well organized. The submission could have benefited from an additional round of editing, but it is, for the most part, very written.

Conclusion:

5/5

- Good conclusion.

Grade: 43/50 = 86%